markets / macro

FICC and Equities | 26 July 2025 | 11:36AM UTC

this was one of those weeks where it paid to heed the wisdom of the great Ken Langone: "you can't keep America down."

to be more precise: S&P went wire-to-wire and sits at fresh all-time highs.

in the doing, a few stories stood out:

i. "the light of the oncoming train focuses the mind." with the August 1st deadline in clear sight, a handful of framework deals were agreed to, the most significant being Japan. while these are all printing north of the 10% "pause" baseline, the fact is they're getting done, and that is wringing risk premia out of the markets.

ii. Fed independence: the headline roulette continues. the tension is unlikely to magically disappear. yet, another week passes, and Chair Powell remains in his seat.

iii. as the earnings reporting season hits full stride, GOOG (amongst others) ratified a hugely important theme: commitment to AI capex is only growing. again, this is the single biggest ball to keep your eye on. as Rich Privorotsky framed it, this is a "gold rush for compute capacity, with tailwinds from both demand and policy."

iv. to say it again -- and, as detailed below -- market technicals remain favorable.

v. it's a distinct point, but under the hood, there was ongoing and significant strain around certain positions (discussed in point 12).

///

now, bear with me as I lay out a framework for market direction (and, feel free to give feedback).

here's one way to level set the big dynamics in the game: US growth has been durable, financial conditions are easy and AI continues to capture the market's imagination.

this calls to mind the slogan of those Old Milwaukee beer commercials from my youth: "it doesn't get any better than this."

it's at these exact times when -- if only for the sake of balance and sobriety -- you're supposed to weigh the areas of fundamental concern.

so, here's a handful that I have been chewing on:

i. if our US economics team is correct on the trajectory of the second half, the growth/inflation tradeoff is not alluring.

ii. retail investors have become truly rapacious in their hunt for risky assets; for a very impressive piece of work that illustrates this action, click here: link.

iii. I have no feel for when it will matter, but back end rates continue to simmer.

iv. most elementally, S&P has been on a flagpole for 15 weeks, so we're due for a dose of consolidation at some point.

my point at this stage in the note: it's a bull market and the primary trend is higher, but one can argue the short-term risk/reward profile is getting tricky.

///

working from there, if anything could overwhelm those concerns, it would be a show-of-force by the largest and most innovative companies in the world.

for good order's sake, next week brings earnings from MSFT (Wed), META (Wed), AMZN (Thu) and AAPL (Thu).

alongside this comes the FOMC (which will likely be the first time since 1993 that two Fed governors dissent), payrolls (as noted in point 10 below, the labor market is approaching stall speed) and the deadline for tariffs (where the stakes are the highest with the EU).

so, next week is a fairly serious show-me story, one that will touch on most of the key market variables.

now, given the fact that short-dated implied volatility has been hammered -- in both equities and interest rates -- I would pick up some cheap gamma to manage your tail risk (be it the left tail or the right tail).

inclusive of everything above and below, here's where I'm going with all of this: my core directional bias is to be long US equities, with a hedge.

as always, specific ideas are available (I'd focus on NDX or QQQ options given their notable cheapness to S&P).

///

1. **debt and deficits**. I hosted a conversation this week with three senior partners to debate the hard truths of the US fiscal situation: link. I came out of this with the same set of biases that I had going in: long US equities ... long stores-of-value ... (modestly) short dollars ... and curves to steepen, globally. through all of the rock-and-roll of 2025, that composite is still generally delivering.

2. **flow-of-funds / positioning**. our discretionary hedge fund client base has sold US equities for FOUR straight weeks. set against this, the systematic trading community remains in buy mode, as $99bn of demand in the past month should be followed by $89bn in the month ahead. taken together, I come back to this point: hedge fund length is still decently below where it was at the February highs (or at the end of last year, or at the peak of last summer).

3. **a follow on point** in sharp contrast to the prior paragraph, the US retail investor has been a hammer in recent months. alongside traditional fund flows, there are multiple markers of households really going for it that caught my eye: the percentage of option volume that is comprised by calls ... the immense volumes in stocks that trade for < $1 ... and, of course, the scorching rally in high short interest stocks (see chart 15 below). at the risk of repeating myself, that note referenced up top from US portfolio strategy did an excellent job of mapping out the manifestations of this speculative enthusiasm.

4. **pulling it together** my expectation is both professionals and civilians will remain sponsors of stocks, but the ferocity of their demand will seasonally slow a bit as July becomes August. at that point, the baton will be handed off to US corporates in the post-earnings window. it's here that I'll note -- and this surprised me -- August is the single most active month for executed repurchase on our desk. so, while I worry a little about the sustainability of current demand specifically the most speculative elements that have locally appeared -- the broad pattern of flow should remain net positive for a bit longer.

5. **earnings**. a few takeaways from the reporting period so far: (1) in aggregate, results have been objectively good, as 65% of S&P names have beaten final estimates by > 1 std dev, which is well above the long-term average of 48%; (2) judging from price action, however, the bar was high -- it's not the +4% consensus estimate that matters, it's that popular stocks are more owned today than they were in the smoke of April; (3) we're starting to see how Trump 2.0 policies are impacting different companies in very different ways -- witness the GM selloff on tariffs vs the VZ rally on expense deduction.

6. **US tech**. to underscore the point on GOOG from up top, consider this observation from NOW: "I don't think the demand environment changed dramatically. I think the demand environment is wide open for AI innovation." what's notable about price action this week is the change in reaction function versus last year -- where commitment to AI spend is again

welcomed by the market. this will be a critical dynamic to monitor next week, and one big question is whether stock operators will begin to make a contrast between “good” capex and “less good” capex (more to follow on this point). for a specific take on the tech setup into next week: link.

7. **US banks** I learned a few things from long-time colleague Richard Ramsden this week:

i. the top ten US banks spend more on technology than the rest of the US banking system combined (that’s ~ 4,300 banks).

ii. the top ten US banks also hold more than half of total assets across the entire industry.

iii. JPM trades around 3.0x TBV, a valuation level not seen for large US bank since ... 2007.

iv. in the context of hope for digital assets, it costs a US bank as much as $7 to process a physical check.

8. **one more point on the banks** the past month brought a set of news that points clearly towards increased credit provision into the economy. here’s one way to frame the cyclical impulse: corporate loan growth for the top seven US banks accelerated from 2% y/y in Q1 ... to over 5% y/y in Q2 ... with healthy growth across both commercial and investment banking businesses (thanks to James Yaro). US bank lending doesn’t pack the same punch that it did in prior cycles, but I still consider trend to be a net positive for US economic growth.

9. **US industrials**. for good order’s sake, XLI has put down the following streak: May +8.8%, June +3.3%, July +5.1%. in turn, the hedge fund community has been a buyer for nine straight weeks, taking net exposure to the 100th percentile. for a take on what’s going on here, enter Ryan Novak:

equity performance has been incredibly concentrated in 2025 in AI/data center related winners -- think GEV (+100% YTD) and GE (+60% YTD). as we turned the calendar to 2H’25, the market is forcing investors to re-evaluate deeper cyclical exposures to drive breadth in performance. the potential for lower interest rates and the ISM in contractionary territory for 30 of the last 32 months (historically a buy signal) are supporting this argument. investors are looking at subsectors like machinery, housing and short cycle with renewed interest on the long side. seasonality is more challenged in August and September, but picks up again in the fall with November historically the strongest month for the group. we expect this rally to have legs into year end.

10. **level setting the US macro outlook**. Jan Hatzius authored a somewhat sobering note that frames various risks to the US economy: link. To my eye, this was the key part:

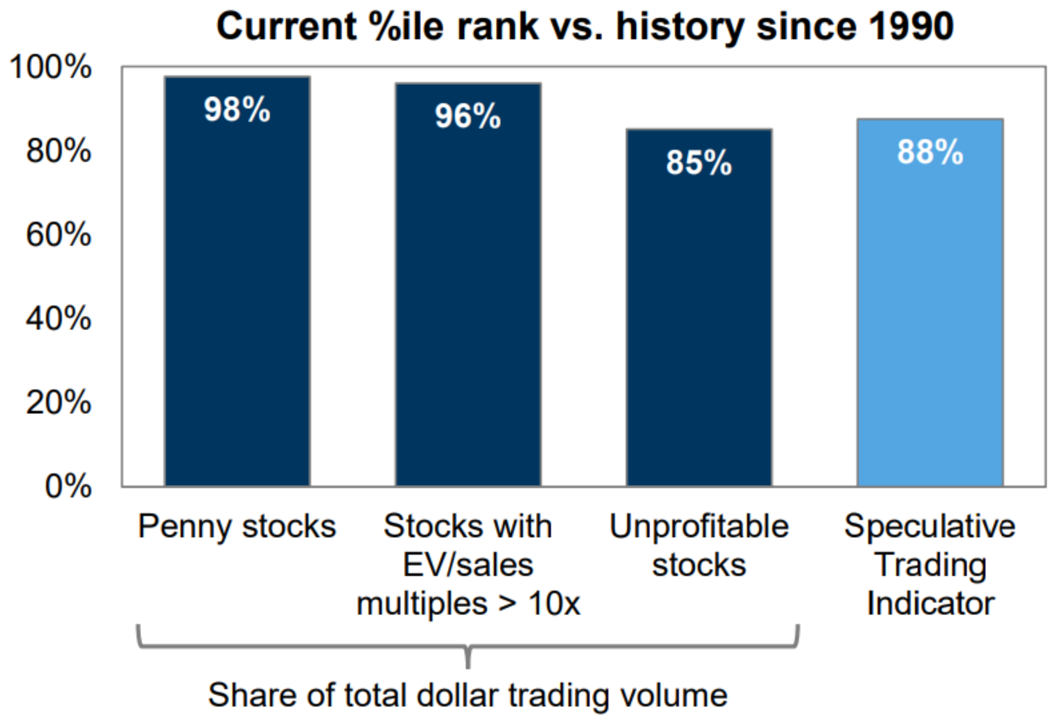
even a one-time price increase will eat into real income, at a time when consumer spending trends already look shaky. although nominal core retail sales rebounded in June, we estimate that real personal consumption has now stagnated on net for six months, which rarely happens outside of recession. housing activity has also slowed sharply, with overall construction spending falling faster over the past year than at any time since the post-2008 housing bust. the weakness in consumption and housing has pushed down our tracking estimate for H1 real GDP growth to 1.1%, about a percentage point below potential. we expect a similar pace in H2, as the growing real income drag from tariff-related price increases offsets the boost from easier financial conditions.

11. **Japan**. I thought the trade deal was a mutual win. specifically, no volume restrictions on the export of Japanese exports is a big deal. so, NKY boasts a clean break above 40k, and TPX similarly took out the highs. local technicals, principally from the systematic community, remain supportive. as is usually the case, the market traded spot up / vol up. as I've said before, Japan style trading rallies -- prosecuted through upside calls -- is about as much fun as one can have in the financial markets.

12. **the pain trade**. you heard the story by now: the momentum factor has been under an immense amount of pressure recently. I suspect part of this follows the contours of earnings (e.g. the homebuilders ripped back on better numbers) and a lot of this is positioning (from the starting point of very high gross exposure, systematic long/short performance has retraced very hard). one more point here: momentum pain was a global story. I thought this comment on the European market (Thilo Deller) was striking: "the correlation between the long and the short leg of momentum has broken down to zero … only other time we saw this was after the vaccine announcement in 2020."

///

13. **to reference that note on speculative trading activity for a third time, this table speaks for itself (link**



14. **working from there, this is our "retail favorites basket," constituted back in the heady days of 2021. as you can see, recent weeks have seen a blast up and through those highs**:

15. **a variation on the same theme. this plots a basket of popular shorts. note that it's now up nine consecutive weeks**:

16. **in other news, this plots an old favorite, the "power up America" basket. given the performance of GEV this week (now up ~ 400% since the reveal of ChatGPT) and the core trends around power demand ([link]()), this is certainly part of the aforementioned gold rush**:

17. **speaking of gorgeous charts and old favorites, I'll finish with a basket of US mega cap tech stocks ... again, this is the big ball, and next week is a show-me story**:

source for all data: GIR, Bloomberg as of 25Jul25. past performance is not indicative of future results. all references to "we/us/our" refer to the views and observations of the desk.

Tony Pasquariello